

Chapter Two

Managerial Decision-making

What will we learn in this chapter?

- Overview of managerial decision-making
- How the brain processes information to make decisions: reflective and reactive systems
- What is the meaning of Emotional Intelligence?
- Programmed and non-programmed decisions
- Barriers to effective decision-making
- Improving the quality of decision-making
- Group decision-making



What is the meaning of Decision-making?

- **Decision-making** is the action or **process** of **thinking** through **possible options** and **selecting** one.
- Decision-making has an **impact**—sometimes quite significant—on the **organization's performance** and its **stakeholders' effectiveness**.

What is the meaning of Stakeholders?

- Stakeholders are **all the individuals** or groups that are **affected** by an **organization** (such as customers, employees, shareholders, owners, etc.).

What are the effects of poor decision-making?

- **Regret and Emotional Distress:** Making the wrong decision can lead to feelings of regret, guilt, anxiety, and self-doubt, affecting one's emotional well-being and self-esteem.
- **Missed Opportunities:** Wrong decisions can lead to missed opportunities, preventing individuals from achieving their goals or pursuing promising paths.
- **Financial Losses:** Poor financial decisions can result in financial losses, debt, and reduced opportunities for wealth accumulation.
- **Loss of Market Share:** Wrong strategic decisions or product development choices can lead to loss of market share, decreased competitiveness, and reduced revenue streams.

How human brain processes information for decision-making?

- The human brain processes information for decision-making using one of two routes: a reflective system and a reactive system.
- **The reflective system:** relating to the deep thought. It is based on logical, analytical, deliberate, and methodical thinking.
- **The reactive system:** relating to quick think. It is based on quick, impulsive, and intuitive thinking, relying on emotions or habits to provide cues for what to do next.
- Effective decision-making requires a balance between the reflective and reactive systems.

What are the two systems of decision-making in the brain?

Reflective Decision-Making

- This decision-making approach rely on **tangible** data and **real-time trends** to guide **actions** and **strategies**.
- This decision-making approach rely on logical, analytical, deliberate, and methodical thinking.

What are the two systems of decision-making in the brain?

Reactive Decision-Making

- A **reactive** decision-maker likes to make **quick decisions** without **taking the time** to obtain the **necessary information** or **consider alternatives**.
- This decision-making approach rely on **emotions** or **habits** to provide cues for what to do next.

What is the meaning of Emotional Intelligence?

- **Emotional Intelligence (EI)** is the **ability** to **manage** both **your** own **emotions** and **understand** the **emotions** of **people** around you.

What are the fundamental components of emotional intelligence?

Emotional intelligence involves four components:

- **Self-awareness:** which is a conscious knowledge of one's character, feelings, motives, and desires. **Recognizing one's own strengths and weaknesses.**
- **Self-regulation:** which is understanding and managing your behavior and reactions to feelings and things happening around you. **Managing one's own emotions.**
- **Empathy:** which is the ability to understand other people's emotions (and an interest in doing so). **Understanding the emotions of others.**
- **Social skills:** which are used to communicate with others daily in a variety of ways including verbal, nonverbal, written and visual. **Communicating effectively.**

What are the fundamental components of emotional intelligence?



What are the kinds of decisions?

- **Programmed decisions (low-involvement decisions):** are those that are repeated over time and for which an existing set of rules can be developed to guide the process. Programmed decisions are also sometimes referred to as routine decisions.
- **Non-programmed decisions (high-involvement decisions):** are novel, unstructured decisions that are generally based on criteria that are not well-defined. Non-programmed decisions are referred to as non-routine decisions.

What is the difference between programmed and non-programmed decisions?



High Involvement Decisions

- Rare purchases such as a House or who to hire for an important position
- More complex Decisions
- More costly Decisions
- More time invested in making the decision



Low Involvement Decisions

- Items purchased more frequently, like a pack of gum or ordering office supplies.
- Less complex Decisions
- Less costly Decisions
- Less time invested in making the decision

How does the decision-making process work?

The decision-making process can be broken down into a series of six steps, as follows:

1. Recognize that a decision needs to be made.
2. Generate multiple alternatives.
3. Analyze the alternatives.
4. Select an alternative.
5. Implement the selected alternative.
6. Evaluate its effectiveness.

How does the decision-making process work?

1. Recognize that a decision needs to be made.

- **Identifying problems and opportunities:**

Effective managers should be attentive to problems and to opportunities and not shy from making decisions that could make their team, department, or organization more effective and more successful.

How does the decision-making process work?

2. Generate multiple alternatives.

- **Talk to other people:** Managers can often improve the quality of their decision-making by involving others in the process, especially when generating alternatives. Other people view problems differently because they have had different life experiences.
- **Be creative:** In decision-making, creativity can be beneficial when generating alternatives. Creativity is the generation of new or original ideas; it requires imagination and the ability to step back from traditional ways of doing things and seeing the world.

How does the decision-making process work?

3. Analyze the alternatives.

- **Evidence-based decision-making:** This approach states that managers should **systematically** collect the **best evidence** available for **every decision** to help them make effective decisions.
- **Using critical thinking:** Critical thinking is a disciplined **process of evaluating the quality of information**, especially data collected from other sources and arguments made by different people, to **determine** whether the **source should be trusted** or **whether the argument is valid**.

How does the decision-making process work?

- **Consider the long-term implications:** Paying attention to possible long-term outcomes is crucial to analyzing alternatives.
- **Consider ethical implications:** It's essential to think about whether the various alternatives available to you are better or worse from an ethical perspective, as well.

How does the decision-making process work?

4. Select an alternative.

- **Recognize that perfection is unattainable:**
Effective managers recognize that they will not always make optimal (best possible) decisions because they lack complete information and the time or resources to gather and process all the potential information.

How does the decision-making process work?

5. Implement the selected alternative.

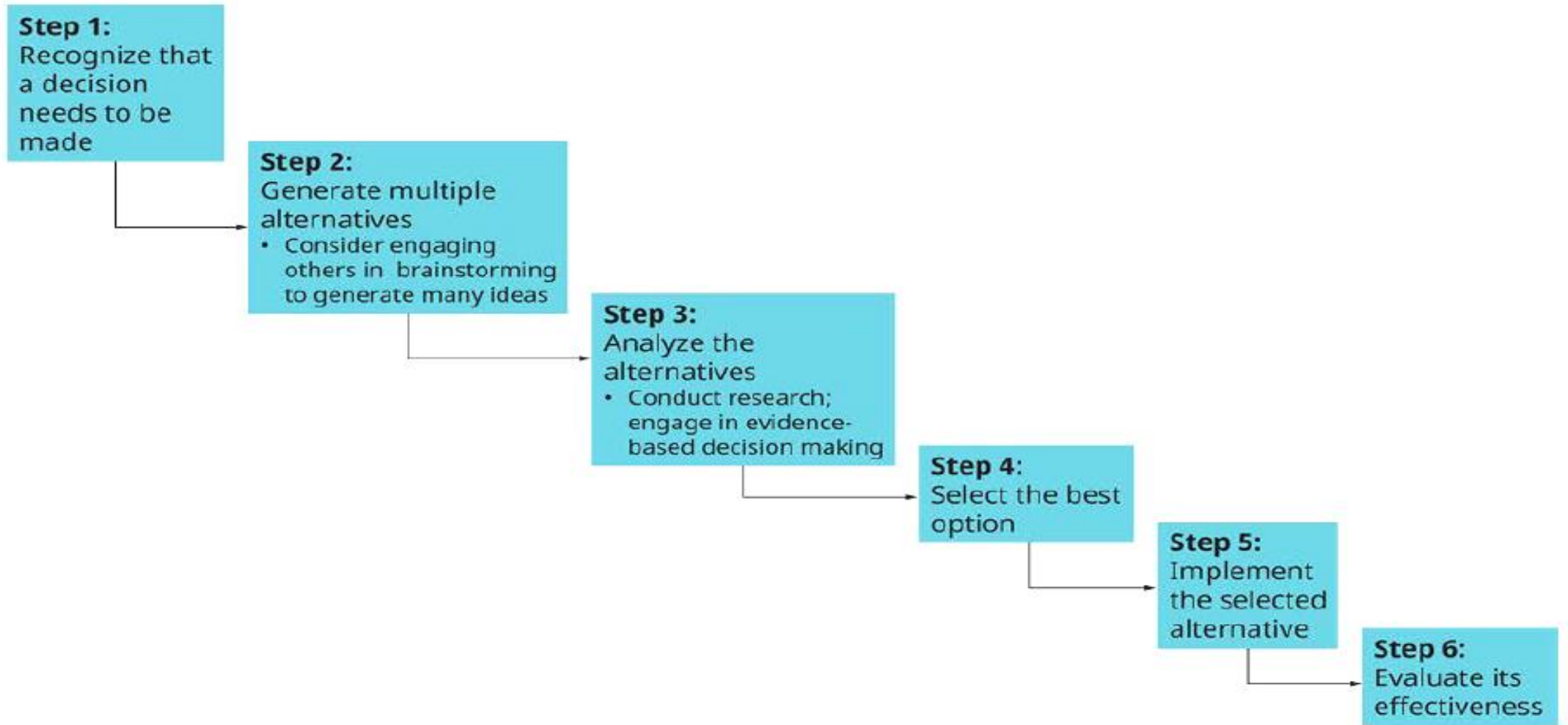
- **Addressing the conflict:** If you know that the decision is going to create conflict, try to think about how you'll address that conflict in a productive way.

How does the decision-making process work?

6. Evaluate its effectiveness.

- **Take time to evaluate the effectiveness of the decision:**
When we fail to assess our performance and the outcomes of our decisions, we cannot **learn from the experience** in a way that enables us to **improve** the **quality of our future decisions**.

How does the decision-making process work?



What barriers exist that make effective decision-making difficult?

- **Bounded rationality:** is the idea that rationality is limited when individuals make decisions, and under these limitations, rational individuals will select a decision that is satisfactory rather than optimal.
- **Time Constraints:** When little time is available to collect information and rationally process it, we are much less likely to make an excellent decision.

What barriers exist that make effective decision-making difficult?

- **Uncertainty:** Some managers may find it challenging to make decisions due to **uncertainty**, as committing to one option necessitates the rejection of other alternatives.
- **Personal Biases:** Our decision-making is also **limited** by our **own biases**. We tend to be more **comfortable with** ideas, concepts, things, and people that are familiar or similar to us and **less comfortable with** those that are unfamiliar, new, and different.

How can a manager improve the quality of his programmed decisions and non-programmed decisions decision-making?

Type of Decision	Technique	Benefit
Programmed decisions	Heuristics (mental shortcuts)	Saves time
	Satisficing (choosing first acceptable solution)	Saves time
Nonprogrammed decisions	Systematically go through the six steps of the decision-making process.	Improves quality
	Talk to other people.	Improves quality: generates more options, reduces bias
	Be creative.	Improves quality: generates more options
	Conduct research; engage in evidence-based decision-making.	Improves quality
	Engage in critical thinking.	Improves quality
	Think about the long-term implications.	Improves quality
	Consider the ethical implications.	Improves quality

What is the meaning of group decision-making?

- **Group decision-making** means involving more people in the decision-making process to improve the quality of decisions and outcomes.
- However, involving more people can also increase conflict and generate other challenges.

How can a manager improve the quality of group decision-making?

- **Having diverse group members:** This can improve quality, generate more options, and reduce bias.
- **Assign devil's advocate:** Someone who **pretends**, in an argument or discussion, **to be against an idea or plan that a lot of people support** to **make** people discuss and consider it in more detail.
- **Encourage everyone to speak up and contribute:** This can **enhance quality**, expand the number of options, and prevent the suppression of disagreement.
- **Help group members find common ground:** **Common ground** is a topic, opinion, or interest that **two or more people can agree about**. Even when two people disagree, common ground can help bring them together.

Thanks
Any question?